

How to Adult

In 2020, the IRS revised the W-4 and made it insanely simple to fill out. For most people who are single or married but filing individually, and have only one job, it's only necessary to follow steps 1 and 5 on the form. Figure 7.3 shows what these steps look like from an actual W-4.

Form W-4		Employee's Withholding Certificate		OMB No. 1545-0074
Department of the Treasury Internal Revenue Service		▶ Complete Form W-4 so that your employer can withhold the correct federal income tax from your pay. ▶ Give Form W-4 to your employer. ▶ Your withholding is subject to review by the IRS.		2020
Step 1: Enter Personal Information	(a) First name and middle initial		Last name	(b) Social security number
	Address			▶ Does your name match the name on your social security card? If not, to ensure you get credit for your earnings, contact SSA at 800-772-1213 or go to www.ssa.gov .
	City or town, state, and ZIP code			
	(c) ☐ Single or Married filing separately ☐ Married filing jointly (or Qualifying widow(er)) ☐ Head of household (Check only if you're unmarried and pay more than half the costs of keeping up a home for yourself and a qualifying individual.)			
Step 5: Sign Here	Under penalties of perjury, I declare that this certificate, to the best of my knowledge and belief, is true, correct, and complete.			
	▶ Employee's signature (This form is not valid unless you sign it.)			▶ Date
Employers Only	Employer's name and address		First date of employment	Employer identification number (EIN)

For Privacy Act and Paperwork Reduction Act Notice, see page 3. Cet. No. 10220Q Form **W-4** (2020)

Figure 7.3. Steps 1 and 5 of the W-4

Source: IRS.gov, <https://www.irs.gov/pub/irs-pdf/fw4.pdf>

Step 1 is where you fill out your personal information, and step 5 is where you sign the form. That is literally all you need to do. If you only fill out these sections, your tax withholdings will be calculated based on the standard deduction of your filing status (single, married, et cetera) and the tax rates on your taxable income.³⁶ So if you are single, only have one job, and follow steps 1 and 5, your withholdings should be pretty close to the amount

36 "FAQs on the 2020 Form W-4," Internal Revenue Service, last modified January 21, 2020, <https://www.irs.gov/newsroom/faqs-on-the-2020-form-w-4>.